Note 14 - Income Taxes

Significant components of deferred tax assets are as follows:

	2010	2009
Loss carry forwards	$ 2,179,612	$ 1,602,904
Other	229,720	229,720
Total deferred tax asset	2,409,332	1,832,624
Valuation allowance	(2,409,332)	(1,832,624)
Total deferred tax asset, net	$ -	$ -

As of December 31, 2010, the Company had approximately $3,000,000 of net operating loss (“NOL”) carryforwards for U.S. federal income tax purposes expiring in 2020 through 2030. In addition, the Company has California state NOL carryforwards of approximately $2,600,000 expiring in 2013 through 2020.

The ability to realize the tax benefits associated with deferred tax assets, which includes benefits related to NOL’s, is principally dependent upon the Company’s ability to generate future taxable income from operations. The Company has provided a full valuation allowance for its net deferred tax assets due to the Company’s net operating losses. The valuation allowance has increased by $576,708 during 2010.

Section 382 of the Internal Revenue Code (“IRC”) imposes limitations on the use of NOL’s and credits following changes in ownership as defined in the IRC. The limitation could reduce the amount of benefits that would be available to offset future taxable income each year, starting with the year of an ownership change.